Employee Leave Policy

Version: 1.0 | **Effective date:** 01 January 2026 | **Applies to:** Fictional demo employees

Training document only. These rules are invented for the sample Employee AI Portal and must not be treated as a real company policy or legal guidance.

1. Purpose and definitions

This sample policy describes leave entitlements, application procedures, eligibility checks and approval processes. Leave is counted in working days, not calendar days. Working days normally exclude Saturdays, Sundays and the company holiday calendar, subject to the employee work schedule.

The request must specify a leave type, a start date, an end date and a reason. A request for "15 days" should be clarified as 15 working days or 15 calendar days before any action is taken.

2. Annual leave entitlement

Eligible full-time demo employees receive 20 annual leave days per leave year (January 1 through December 31). The sample SQLite database starts each employee with 20 annual leave days and 4 days already used, leaving 16 days available.

Unused annual leave may be carried forward up to 5 days into the next year, subject to HR review. Carry-forward must be used by March 31 of the following year. No automatic cash payout is assumed in this sample project.

3. Sick leave entitlement

Employees receive 10 sick leave days per year. The demo data starts with 2 days used and 8 days remaining. If sick leave exceeds 2 consecutive working days, a medical certificate should be provided to HR.

For an unexpected absence, the employee should notify their manager as soon as reasonably possible, preferably on the same day. Emergency exceptions may be reviewed by HR.

4. Casual leave entitlement

Employees receive 8 casual leave days per year. Demo data starts with 1 day used and 7 days remaining. Casual leave normally cannot exceed 3 consecutive working days.

For a planned casual leave, employees should submit their request at least 2 working days in advance. Urgent personal emergencies may be considered by the manager.

5. Annual leave notice and approvals

For 1 to 5 consecutive working days of annual leave, apply at least 3 working days in advance and obtain manager approval. For 6 to 10 working days, apply at least 10 working days in advance with manager approval.

For MORE THAN 10 consecutive working days, including a request for 15 working days, apply at least 20 working days in advance. Both manager and HR approval are required. The request is not automatically rejected solely because it exceeds 10 days; it remains subject to business coverage, notice and sufficient balance.

If adequate notice cannot be given, HR may consider an exception. Creating a leave application does not mean the leave has been approved.

6. Balance checks and request processing

Employees may request leave only when their available balance covers the chargeable working days, unless HR explicitly authorizes an exceptional unpaid-leave process. Leave requests must not overlap with another pending or approved request.

Submitted leave requests begin in PENDING status. Once required approvals are recorded, the request becomes APPROVED and the approved days are deducted from the balance exactly once. A REJECTED or CANCELLED request must not be deducted as used leave.

Employees can cancel a PENDING leave request before it is approved. Cancellation after approval may require manager or HR intervention.

7. Submission and escalation

Employees submit leave through the employee chatbot or HR portal. The portal should show a summary of leave type, dates, working-day count and reason, and obtain explicit confirmation before creating the request.

After submission, employees receive a reference ID and can track the status using the chatbot. Contact HR via a support ticket if leave is urgent, exceptional or blocked by a policy rule.